Current Affairs 29-08-2026

Credit - Drishti Ias

12 Years of Pradhan Mantri Jan Dhan Yojana

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For Prelims: Pradhan Mantri Jan Dhan Yojana , RuPay , National Payments Corporation of India (NPCI) , Direct Benefit Transfer Jan Dhan-Aadhaar-Mobile (JAM) trinity , World Bank

For Mains: Financial inclusion and its contribution to formalisation of the economy, PMJDY's role in expanding savings, credit, insurance and pension coverage, Relationship between financial inclusion and poverty alleviation.

Source: PIB

Why in News?

The **Pradhan Mantri Jan Dhan Yojana (PM-JDY)** , the Government of India's flagship **National Mission for Financial Inclusion** , has completed **12 years of implementation** (2014–2026), marking a systemic shift in expanding formal banking, credit, digital payments, and social security across India.

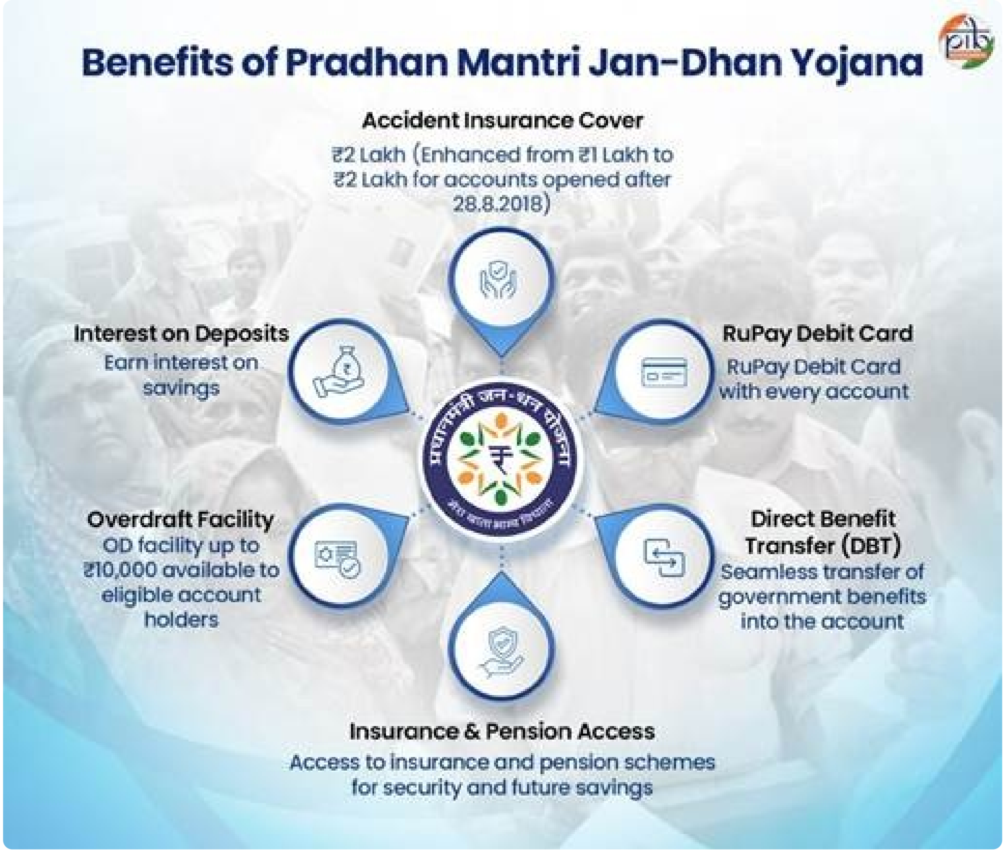
Summary

- **PMJDY has transformed financial inclusion in India** , reaching **59.09 crore accounts by August 2026** , while expanding access to savings, credit, insurance, pensions and DBT through the JAM framework.
- **The next phase must focus on financial deepening** , addressing dormant accounts, digital and biometric exclusion, limited overdraft access and cash-heavy usage through stronger last-mile technology, financial literacy, Bank Mitra networks and behavioural nudges.

What is Pradhan Mantri Jan Dhan Yojana (PMJDY)?

- **About:** Launched in August 2014, PMJDY aims to ensure **access to financial services, namely, basic savings & deposit accounts, remittance, credit,** insurance, pension in an affordable manner.

    - Under the scheme, a **basic savings bank deposit (BSBD)** account can be opened in any bank branch or **Business Correspondent (Bank Mitra) outlet** , by persons not having any other account.
    - PMJDY operates under the Department of Financial Services within the Ministry of Finance.
- **Paradigm Shift (2018):** In 2018, the scheme transformed its strategic target from **"every household"** to **"every unbanked adult"** , expanding coverage to individuals within families.
- **Benefits under PMJDY:**
    - **Banking the Unbanked:** Beneficiaries can open a BSBD account without depositing any initial amount and are not penalized for maintaining a zero balance.
    - **Interest on Savings:** Deposits kept in PMJDY accounts earn standard savings account interest rates, incentivizing the habit of saving.
    - **Small Account / Chota Khata:** Enables individuals without formal documents to open a basic bank account. It is valid for **12 months** and can be extended by another **12 months** upon providing proof of having applied for an Officially Valid Document (OVD).
    - **Securing the Unsecured:** Account holders receive a domestic **RuPay** debit card, enabling them to withdraw cash from ATMs and make digital payments (PoS/e-commerce).
        - The RuPay card comes with a free accident insurance cover of **Rs 2 lakh** (for accounts opened after August 28, 2018). Accounts opened before this date have a Rs 1 lakh cover. The **National Payments Corporation of India (NPCI) pays the premium.**
    - **Funding the Unfunded:** To address emergency financial needs, an overdraft facility of up to **Rs 10,000** is available to one account holder per household (preferably a woman) after six months of satisfactory account operation.
    - **Eligibility for Additional Government Schemes:** PMJDY accounts are eligible for **Direct Benefit Transfer (DBT) , Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY), Pradhan Mantri Suraksha Bima Yojana (PMSBY), Atal Pension Yojana (APY), and Micro Units Development & Refinance Agency Bank (MUDRA) scheme.**
- **Significance:**
    - **The JAM Trinity & Inclusive Governance:** PMJDY is the central pillar of the **Jan Dhan-Aadhaar-Mobile (JAM)** trinity.
        - This architecture has created a diversion-proof mechanism for DBT, enabling the government to transfer subsidies seamlessly, eliminating intermediaries and ghost beneficiaries.
    - **Poverty Alleviation:** According to the **World Bank , PMJDY and the JAM trinity have significantly contributed to India's steep reduction in extreme** poverty.
        - By minimizing subsidy leakages, the DBT mechanism saved the exchequer approximately **Rs 3.48 lakh crore by 2023.**
    - **Formalisation of the Financial System:** It has brought the savings of the marginalized into the formal financial sector.
        - Furthermore, verifiable banking activity allows the poor to build a financial history, making them eligible for formal credit lines like Mudra loans.



Key Achievements of PMJDY over 12 Years (2014-2026)

- **Unprecedented Account Opening:** PMJDY accounts have grown fourfold over the past 12 years, reaching 59.09 crore accounts as of August 2026, making it the world's largest financial inclusion initiative.
  - India's Financial Inclusion Index also rose from 53.9 in 2018 to 67 in 2026, reflecting improved access to savings, credit, insurance and digital payments.
- **Massive Deposit Mobilization:** PMJDY deposits have surged nearly 20-fold, reaching a cumulative balance of Rs 3.17 lakh crore, reflecting deeper participation in the formal banking system.
- **Focus on the Vulnerable:**
  - **Women Empowerment:** Approximately **56%** of all Jan Dhan account holders are women.
  - **Rural Reach:** A substantial **78%** of the accounts are operating in rural and semi-urban areas, prioritizing last-mile access.
- **RuPay Cards & Insurance Coverage:** Over **41.29 crore** free RuPay cards have been issued to account holders, greatly boosting digital transactions and providing life-saving insurance nets.
- **Global Milestones:** Recognized by Guinness World Records in January 2015 for opening 18,096,130 accounts in a single week.
  - Highlighted by the World Bank and the IMF as a model for large-scale financial democratization.

What are the Challenges Regarding PMJDY?

- **Dormancy and Inactive Usage:** While the goal of near-universal account ownership (access) is largely met, keeping all accounts active and fully operative remains a hurdle. Many rural accounts **suffer from prolonged dormancy.**
- **Digital Literacy Gap:** A lack of **digital awareness and the pervasive fear of cyber fraud** prevent a significant portion of rural beneficiaries from adopting **UPI and online banking tools confidently.**

    - The conversion rate from basic deposit accounts to active micro-insurance (PMJJBY/PMSBY) and formal micro-pension plans (APY) requires sustained cross-selling and awareness drives.
- **Infrastructure Bottlenecks:** Sub-par network connectivity in remote **"shadow areas"** continues to hinder real-time **Aadhaar-enabled Payment System (AePS)** transactions, leading to transaction failures at the last mile.
- **Limited Overdraft Facility Impact** : The overdraft facility under PMJDY has seen limited uptake due to banks' concerns over repayment risks and the requirement of satisfactory account operation for six months, which can disadvantage people with irregular incomes.
- **Cash-Heavy Usage:** Many PMJDY accounts primarily serve as channels for receiving DBT, with beneficiaries often withdrawing funds soon after receipt. This limits the role of these accounts in **building long-term savings, credit access and investment habits.**

What Measures are Needed to Strengthen PMJDY?

- **Shift from "Access" to "Active Usage":** Policy focus must pivot toward increasing transaction frequency through micro-savings incentives, customized micro-credit products, and structured financial literacy workshops.
- **Upgrading Last-Mile Banking Technology:** AePS-related biometric failures can be reduced by adopting **iris and facial authentication** alongside fingerprint authentication. Greater use of **offline digital payment solutions such as UPI 123PAY and UPI Lite X** can also improve access in areas with weak or no internet connectivity.
- **Strengthening the Business Correspondent Network:** The **Bank Sakhi model** (trains women from self-help groups to act as local banking agents) can be expanded to improve trust and accessibility among rural women.
    - Shift BCs from a purely commission-based model to a **Base Pay plus Commission** model to ensure they survive periods of frequent bank server downtimes.
- **Financial Deepening through Behavioural Nudges:** Encourage beneficiaries to **save a small portion of DBT payments** through auto-sweep and micro-saving options.
    - Use **behavioural nudges** to promote micro-insurance and pension schemes such as **PMJJBY and APY** through small, affordable auto-debits suited to irregular incomes.
- **Incentivizing Private Sector Participation:** Currently, Public Sector Banks (PSBs) and Regional Rural Banks bear over 97% of the PMJDY burden.
    - The RBI and Ministry of Finance could introduce a **priority sector lending (PSL)** sub-target or a specific mandate requiring Private Sector Banks to maintain a certain proportional share of active Jan Dhan accounts, distributing the operational cost of financial inclusion more evenly across the banking sector.

Conclusion

As PMJDY moves beyond 12 years, the focus must shift from **account opening to financial deepening** . Strengthening last-mile technology, behavioural nudges, micro-credit and insurance can turn Jan Dhan accounts into **tools of wealth creation, economic empowerment and resilience** .

"Pradhan Mantri Jan Dhan Yojana (PMJDY) has transformed from a mere account-opening drive into an institutional pillar of inclusive growth and welfare delivery in India.

Frequently Asked Questions (FAQs)

1. What is PMJDY and when was it launched?
Pradhan Mantri Jan Dhan Yojana (PMJDY) is India's National Mission for Financial Inclusion, launched in **August 2014** to provide affordable access to banking, credit, insurance, pension and remittance services.

2. What was the major change in PMJDY's approach in 2018?
In **2018** , PMJDY shifted its focus from **every household to every unbanked adult** , thereby expanding financial inclusion beyond household-level coverage.

3. What is the role of PMJDY in the JAM Trinity?
PMJDY forms the **Jan Dhan pillar of the Jan Dhan-Aadhaar-Mobile (JAM) Trinity** , enabling DBT and helping improve the efficiency, transparency and targeting of welfare transfers.

4. What are the major benefits available under PMJDY?
Key benefits include **zero-balance BSBD accounts, RuPay debit cards, accident insurance, overdraft facility, DBT and access to PMJJBY, PMSBY, APY and MUDRA** .

5. What is the major challenge facing PMJDY after achieving large-scale account coverage?
The key challenge is shifting from **financial access to financial deepening** , including active account usage, regular savings, formal credit, insurance, pensions, digital literacy and protection against financial fraud.

[Watch Video on YouTube: ▶ **https://www.youtube.com/embed/ZPQ8629LxaE**]

UPSC Civil Services Examination Previous Year Question (PYQ)

Prelims

Q. Regarding 'Atal Pension Yojana', which of the following statements is/are correct? (2016)

1. It is a minimum guaranteed pension scheme mainly targeted at unorganized sector workers.
2. Only one member of a family can join the scheme.
3. Same amount of pension is guaranteed for the spouse for life after subscriber's death.

Select the correct answer using the code given below:

(a) 1 only

(b) 2 and 3 only

(c) 1 and 3 only

(d) 1, 2 and 3

Ans: (c)

Q. With reference to India, consider the following: (2010)

1. Nationalization of Banks
2. Formation of Regional Rural Banks
3. Adoption of village by Bank Branches

Which of the above can be considered as steps taken to achieve the "financial inclusion" in India?

(a) 1 and 2 only

(b) 2 and 3 only

(c) 3 only

(d) 1, 2, and 3

Ans: (d)

Mains

Q. Pradhan Mantri Jan Dhan Yojana (PMJDY) is necessary for bringing unbanked to the institutional finance fold. Do you agree with this for financial inclusion of the poorer section of the Indian society? Give arguments to justify your opinion. **(2016)**

Sarnath's Path to the World Heritage List

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Source: PIB

Why in News?

The **Ancient Buddhist Site of Sarnath** has been inscribed on the **UNESCO World Heritage List** during the **48th Session of the World Heritage Committee held in Busan, South Korea** .

- With this recognition, India's UNESCO World Heritage properties have increased to **45** , making India the **6th largest country globally** in terms of World Heritage properties and **2nd in the Asia-Pacific region** .

UNESCO World Heritage List

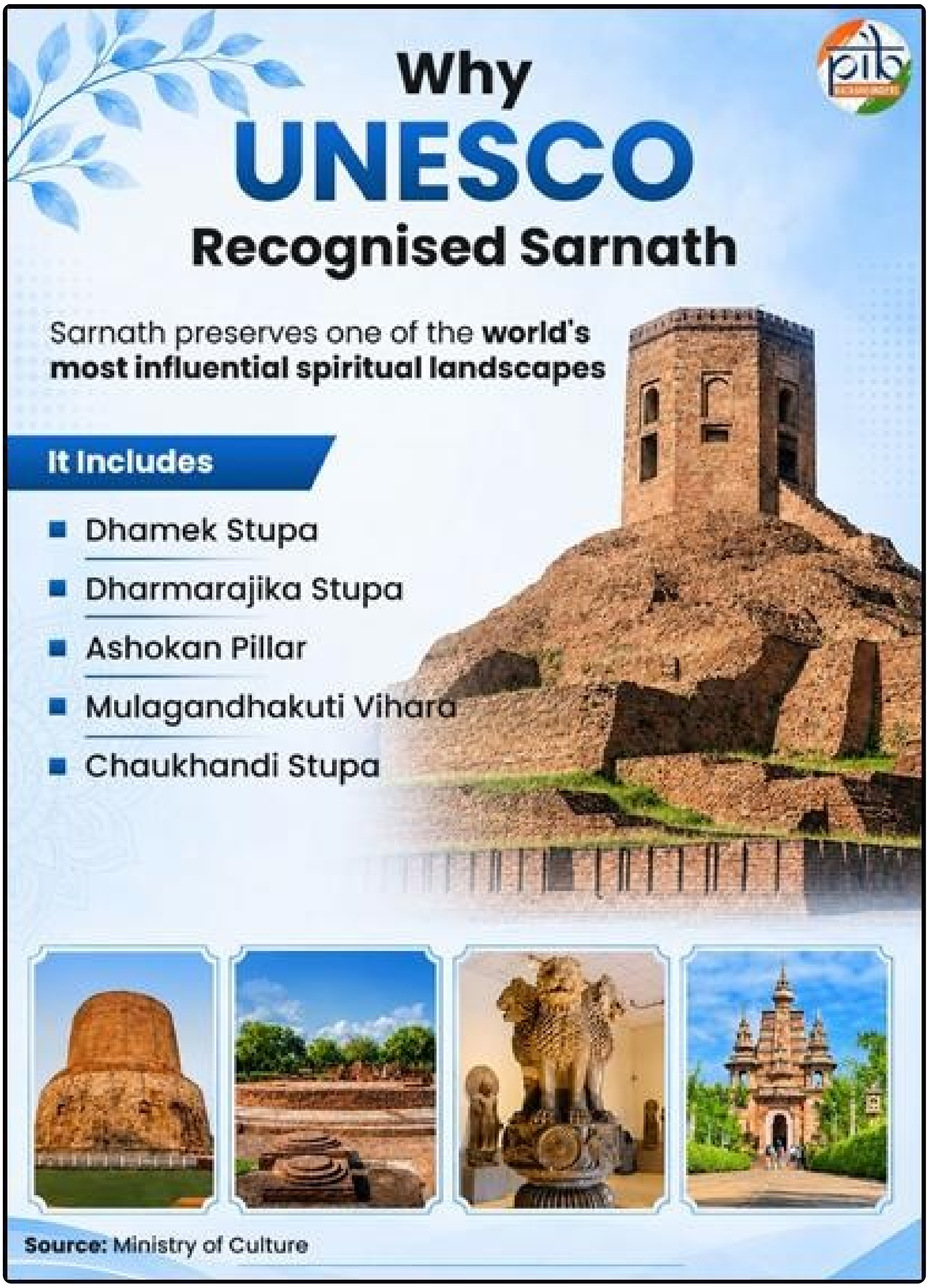
- **About:** UNESCO works for the **identification, protection, and preservation of cultural and natural heritage of exceptional value** under the **Convention concerning the Protection of the World Cultural and Natural Heritage, adopted in 1972** .
- **Global Status of World Heritage List (July 2026):** The UNESCO World Heritage List includes **1,273 properties across 173 countries** , comprising **991 cultural sites, 240 natural sites, and 42 mixed sites** .
- **World Heritage Convention Membership:** The Convention has been ratified by **196 States Parties** , making it one of the **most widely accepted international heritage protection frameworks** under the United Nations system.

What are the Key Facts About Sarnath?

- **About:** Sarnath, located in **Varanasi, Uttar Pradesh** , is one of the **four major Buddhist pilgrimage sites** . It is associated with **Gautama Buddha's first sermon** after attaining enlightenment.
- **Components:** The UNESCO World Heritage inscription includes two components — **Chaukhandi Stupa** and the **Archaeological Remains of Sarnath** . The archaeological complex contains important structures such as the **Dhamek Stupa, Dharmarajika Stupa, Mulagandhakuti Vihara, and Ashokan Pillar** .
- **Historical Importance:** Known as **Rishipatana, Ishipatana, and Mrigadava** in Buddhist texts, Sarnath is the place where Buddha delivered the **Dharmachakra Pravartana (Turning of the Wheel of the Law)** sermon in the **6th century BCE** , leading to the establishment of the **Buddhist Sangha** and teachings of the **Noble Eightfold Path** .
- **Architectural and Cultural Evolution:** The site reflects nearly **16 centuries of continuous development** , with monuments ranging from the **Pre-Mauryan period (4th–3rd century BCE)** to the **12th century CE** . It developed through the patronage of rulers, monasteries, and devotees before declining and later being rediscovered in the **18th century** .
- **Long Nomination Process:** Sarnath was included in India's **Tentative List of UNESCO World Heritage Sites in 1998** . The nomination proposal was submitted to UNESCO in **January 2025** ,

followed by technical evaluation and review by UNESCO advisory bodies.

- **UNESCO Criteria for Inscription:** Sarnath was inscribed under **Criteria (iii) and (vi)** of the UNESCO World Heritage List:
  - **Criterion (iii):** Recognises its enduring spiritual importance as one of the four principal Buddhist pilgrimage sites.
  - **Criterion (vi):** Recognises its direct association with significant events in Buddha's life, including his **first sermon and meeting with his first five disciples** .
- **International Buddhist Linkages:** Sarnath remains a major global pilgrimage destination for Buddhists from countries such as **Japan, Thailand, Sri Lanka, Myanmar, Vietnam, South Korea, Cambodia, and Mongolia** , strengthening India's cultural diplomacy.
- **Connection with Buddhist Heritage Sites:** With Sarnath's inclusion, **three of the four major Buddhist pilgrimage sites** associated with Buddha are now on the UNESCO World Heritage List:
  - **Lumbini (Nepal)** – Birthplace of Buddha
  - **Mahabodhi Temple, Bodh Gaya (Bihar)** – Place of Enlightenment
  - **Sarnath (Uttar Pradesh)** – Place of First Sermon



Enabling India's Heritage Success

- **Role of Ministry of Culture:** The **Ministry of Culture** leads India's engagement with **UNESCO on cultural heritage matters** . It implements UNESCO cultural conventions, coordinates **World Heritage Site and Intangible Cultural Heritage nominations** , and promotes international heritage cooperation and cultural diplomacy.
- **Role of Archaeological Survey of India (ASI):** The **Archaeological Survey of India (ASI)** is the nodal agency for World Heritage-related matters in India. It is responsible for the **conservation and maintenance of centrally protected monuments** , including **28 UNESCO World Heritage properties** .
- **Legal and Conservation Framework:** ASI ensures heritage protection through the implementation of the **Ancient Monuments and Archaeological Sites and Remains Act, 1958** and the **Antiquities and Art Treasures Act, 1972** .

India's Growing World Heritage List

- **Current UNESCO Status:** As of **July 2026** , India has **45 UNESCO World Heritage properties** , comprising **37 cultural sites, 7 natural sites, and 1 mixed site** .
- **Growth of India's Heritage List:** India's first UNESCO inscriptions came in **1983** with **Agra Fort, Taj Mahal, Ajanta Caves, and Ellora Caves** . Since then, the list has expanded to include forts, temples, caves, railways, stepwells, planned cities, and national parks.
- **Recent Additions:** The **Maratha Military Landscapes of India** were inscribed at the **47th Session of the World Heritage Committee in Paris** , while the **Ancient Buddhist Site of Sarnath** was added during the **48th Session in Busan, South Korea** .
- **Future Heritage Prospects:** India's **Tentative List contains 69 properties** , which serves as the first step for future UNESCO World Heritage nominations.

What are the Government's Initiatives to Promote India's Rich Cultural Heritage?

- **Retrieval of Antiquities:** The Government has undertaken efforts to bring back India's cultural artefacts from abroad through coordination among the **Ministry of Culture, Archaeological Survey of India (ASI), Indian Missions, and enforcement agencies** .
  - India has repatriated **669 antiquities** , including **656 since 2014** , with major returns including **Chola-period Shiva Nataraja, Saint Sundarar with Paravai, and Somaskanda** .
- **Adopt a Heritage 2.0 Programme:** Launched in **2017 and revamped in 2023** , the initiative promotes collaboration with **private companies, PSUs, NGOs, trusts, and societies** for developing visitor amenities at **Protected Monuments of National Importance** through CSR and other contributions.
- **Gyan Bharatam Mission:** Launched in **2025** , the mission focuses on the **preservation, digitisation, and accessibility of India's manuscript heritage** by using modern technologies and digital repositories.
  - The **National Manuscript Survey (2026)** identified over **1.19 crore manuscripts** , while more

than **4.40 lakh digitised manuscripts** are available on the **Gyan Bharatam portal** for public access.

- **Digitisation of Archives:** The **National Archives of India** is digitising historical records through the **Abhilekh Patal portal** .
- **National Mission on Monuments and Antiquities (NMMA):** Implemented under the **ASI** , NMMA creates a national database of India's monuments and antiquities to support conservation planning, monitoring, and prioritisation.

Conclusion

The inscription of the **Ancient Buddhist Site of Sarnath on the UNESCO World Heritage List** represents global recognition of India's rich cultural and spiritual heritage. It highlights Sarnath's significance as a symbol of peace, compassion and Buddhist philosophy while strengthening India's cultural diplomacy. The recognition also underscores the importance of preserving heritage sites for future generations and promoting India's civilisational legacy.

Drishti Mains Question

The inscription of Sarnath on the UNESCO World Heritage List reflects India's rich Buddhist heritage and cultural diplomacy. Discuss.

Frequently Asked Questions (FAQs)

1. Why is Sarnath famous?
Sarnath is famous as the place where Gautama Buddha delivered his first sermon known as **Dharmachakra Pravartana** .

2. Where is Sarnath located?
Sarnath is located in **Varanasi district of Uttar Pradesh** .

3. Under which UNESCO criteria was Sarnath included?
Sarnath was included under **Criterion (iii)** and **Criterion (vi)** of the UNESCO World Heritage List.

4. What is the World Heritage Convention?
The World Heritage Convention was adopted by UNESCO in **1972** to protect cultural and natural heritage of Outstanding Universal Value.

5. Which organisation manages India's World Heritage properties?
The **Archaeological Survey of India (ASI)** is the nodal agency for World Heritage-related matters.

[Watch Video on YouTube: ▶ **https://www.youtube.com/embed/sPym9q6S6cw** **]**

UPSC Civil Services Examination, Previous Year Questions (PYQs)

Prelims

Q. Consider the following properties included in the World Heritage List released by UNESCO: (2024)

1. Shantiniketan
2. Rani-ki-Vav
3. Sacred Ensembles of the Hoysalas
4. Mahabodhi Temple Complex at Bodhgaya

How many of the above properties were included in 2023?

(a) Only one

(b) Only two

(c) Only three

(d) All four

Ans: (b)

Mains

Q.1 Safeguarding the Indian Art Heritage is the need of the moment. Discuss. **(2018)**

Q.2 Indian Philosophy and tradition played a significant role in conceiving and shaping the monuments and their art in India. Discuss. **(2020)**

India's Record Forex Reserves: FCNR(B) Swap Facility

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Source: IE

Why in News?

India's **foreign exchange reserves** reached an all-time high of USD 729.33 billion as of August 21, propelled by the **Reserve Bank of India's (RBI)** concessional swap window for **Foreign Currency Non-Resident (Bank) [FCNR(B)] deposits.**

- This reserve buildup strengthens the central bank's capacity to stabilize the domestic currency amid prolonged geopolitical shocks and sustained capital outflows.

How Does an FCNR(B) Swap Window Boost Forex Reserves?

- **Concessional Swap Window:** It is a targeted monetary and foreign exchange intervention tool where the central bank executes a subsidized **USD/INR Buy/Sell Forex Swap** with domestic commercial banks at a forward premium rate fixed well below prevailing market rates.
  - Its primary operational objective is to mobilize large, stable, long-term foreign currency inflows primarily via **Foreign Currency Non-Resident (Bank) [FCNR(B)]** deposits and **External Commercial Borrowings (ECBs)** to rebuild foreign exchange reserves and halt speculative currency depreciation without directly depleting spot market liquidity.
- **Mechanism:** During a currency crisis or severe rupee depreciation, the RBI **opens a "swap window."** Banks bring **foreign-currency deposits from NRIs** and exchange them with the RBI for rupees.
  - The RBI assumes the **exchange-rate risk** , enabling banks to offer attractive returns to depositors.
- **Impact on Reserves:** The inflowing dollars are added to the RBI's foreign exchange assets, thereby **boosting forex reserves** without requiring direct spot-market intervention.
- **2013 Precedent:** The facility was successfully used during the **2013 Taper Tantrum** under then-RBI Governor **Raghuram Rajan** , helping stabilise the rupee and attract substantial foreign-currency inflows.
- **2026 Facility:** The facility attracted significant FCNR(B) inflows, with banks offering rates of up to **7.4%** as the RBI absorbed exchange-rate risk.
  - Alongside FCNR(B) deposits, the concessional window attracted USD 4.86 billion through **Overseas Foreign Currency Borrowings** (loans or debt instruments raised by Indian entities from non-resident lenders in foreign currencies) and USD 2.59 billion via **External Commercial Borrowings**
  - Along with measures such as **tax relief for foreign portfolio investments in government securities** and valuation gains in foreign currency assets and gold, the inflows helped raise India's forex reserves to a record **USD 729.33 billion** .

Role of Forex Reserves in Defending the Rupee

- **Forex reserves provide the RBI with a crucial buffer against excessive rupee volatility and external shocks.** During periods of depreciation, the RBI can sell foreign currency from its reserves to increase dollar supply and reduce pressure on the rupee. Strong reserves also **boost investor confidence, support external payment obligations, cushion capital outflows and strengthen macroeconomic stability** .
- However, despite record forex reserves, the **rupee remained under pressure** due to continued FPI outflows, strong foreign-currency demand, higher global interest rates and elevated crude oil prices.
  - The **West Asia conflict** further aggravated these pressures by disrupting energy supplies and raising global oil prices. Given India's high dependence on imported crude, costlier oil widened the import bill and increased demand for dollars, adding to **rupee depreciation and inflationary pressures** .

FCNR(B) Account

- **Definition:** FCNR(B) is a type of fixed deposit account opened by **Non-Resident Indians (NRIs) and Persons of Indian Origin (PIOs) in India.**
- **Foreign Currency Denomination:** Unlike standard **NRE (Non-Resident External) and NRO (Non-Resident Ordinary)** which are maintained in Indian Rupees, FCNR(B) accounts are maintained in freely convertible foreign currencies (like USD, GBP, EUR, JPY).
- **Zero Exchange Rate Risk for Depositors:** Because the money is kept in the foreign currency, the **NRI depositor does not face the risk of the rupee depreciating against their home currency.**
- **Repatriability and Taxation:** The principal amount and the interest earned are fully repatriable (can be easily taken back to the country of residence).
  - Furthermore, the interest earned on these deposits is completely exempt from **income tax in India.**

What are Foreign Exchange (Forex) Reserves?

- **Definition:** Forex reserves are assets held on reserve by a central bank in foreign currencies. They act as a financial shock absorber and a guarantor of a nation's ability to meet its external obligations.
- **Key Components:** In India, forex reserves are broadly divided into four categories:
  - **Foreign Currency Assets (FCA):** The largest component, consisting of US dollars, Euros, British Pounds, and Japanese Yen, often invested in foreign government bonds.
  - **Gold Reserves:** Held physically and virtually by the central bank as a safe-haven asset.
  - **Special Drawing Rights (SDRs):** Also known as 'Paper Gold', SDRs is an international reserve asset created by the **International Monetary Fund (IMF)** to supplement member countries' official reserves.
  - **Reserve Tranche Position (RTP):** The difference between a member's quota and the IMF's holdings of its currency, which a country can access without conditions.
    - India's RTP stands at around USD 4.78 billion (as of early 2025).
- **Management:** The **Reserve Bank of India (RBI)** is the custodian and manager of India's forex reserves.
  - The RBI manages these reserves under the legal provisions of the **Reserve Bank of India Act, 1934** and the **Foreign Exchange Management Act (FEMA), 1999** .
  - The RBI follows the principles of safety, liquidity, and return (in that order) when investing these reserves, usually keeping them in top-tier global sovereign bonds or with other central banks.
- **Significance:**
  - **Import Cover:** They provide the **necessary foreign currency to pay for essential imports** (like crude oil, electronics, and gold) even during global economic shocks.
    - A strong reserve usually ensures a country has enough funds to cover several months of imports.
  - **Exchange Rate Management:** The RBI uses these reserves to intervene in the foreign exchange market. If the rupee falls too sharply, the RBI sells **dollars from its reserves to increase dollar**

supply, thereby stabilizing the rupee.**

- **Investor Confidence:** High reserves signal strong economic fundamentals, reassuring **foreign direct investors (FDI) and foreign portfolio investors (FPI)** that the country can manage external shocks and debt obligations.
- **External Debt Servicing:** Reserves ensure that the government and domestic corporates can repay their foreign currency-denominated debts on time.

Frequently Asked Questions (FAQs)

1. What is an FCNR(B) account?
An **FCNR(B) account** is a foreign-currency fixed deposit maintained by **NRIs/eligible persons** in freely convertible currencies. Both principal and interest are **fully repatriable** , subject to applicable rules.

2. What is the role of the RBI's FCNR(B) swap facility?
It enables banks to exchange foreign-currency funds with the RBI through a **USD/INR swap** , with the RBI absorbing exchange-rate risk, thereby encouraging foreign-currency inflows.

3. What are the four major components of India's forex reserves?
India's forex reserves comprise **Foreign Currency Assets (FCA), Gold, Special Drawing Rights (SDRs) and Reserve Tranche Position (RTP) with the IMF** .

4. How can forex reserves help stabilise the rupee?
The RBI can **sell foreign currency from its reserves** when the rupee faces excessive depreciation, increasing dollar supply and helping contain disorderly exchange-rate movements.

5. Which laws govern the management of India's forex reserves?
The **Reserve Bank of India Act, 1934** and **Foreign Exchange Management Act (FEMA), 1999** provide the principal legal framework for the RBI's management of India's foreign exchange reserves.

[Watch Video on YouTube: ▶ https://www.youtube.com/embed/NZZ0KTXA86g]

UPSC Civil Services Examination, Previous Year Questions (PYQs)

Prelims

Q. If the RBI decides to adopt an expansionist monetary policy, which of the following would it not do?(2020)

1. Cut and optimize the Statutory Liquidity Ratio
2. Increase the Marginal Standing Facility Rate
3. Cut the Bank Rate and Repo Rate

Select the correct answer using the code given below:

(a) 1 and 2 only

(b) 2 only

(c) 1 and 3 only

(d) 1, 2 and 3

Ans: (b)

Q. Which of the following statements is/are correct regarding the Monetary Policy Committee (MPC)?(2017)

1. It decides the RBI's benchmark interest rates.
2. It is a 12-member body including the Governor of RBI and is reconstituted every year.
3. It functions under the chairmanship of the Union Finance Minister.

Select the correct answer using the code given below:

(a) 1 only

(b) 1 and 2 only

(c) 3 only

(d) 2 and 3 only

Ans: (a)

Q. With reference to Balance of Payments, which of the following constitutes/ constitute the Current Account? (2014)

1. Balance of trade
2. Foreign assets
3. Balance of invisibles
4. Special Drawing Rights

Select the correct answer using the code given below:

(a) only

(b) 2 and 3

(c) 1 and 3

(d) 1, 2 and 4

Ans: (c)

Mains

Q. The product diversification of financial institutions and insurance companies, resulting in overlapping of products and services strengthens the case for the merger of the two regulatory agencies, namely SEBI and IRDA. Justify. **(2013)**

India's Space Launch Cost

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Source: TH

A peer-reviewed study published in *Economics Letters* analysed more than six decades of rocket launches and estimated that **India spent around USD 13,302 to place one kilogram of payload into Low-Earth Orbit (LEO) in 2025,** compared with a global average of USD 3,868 per kg.

- **Higher than Other Major Spacefaring Nations:** India's estimated launch cost exceeded **Europe (USD 9,897/kg), Russia (USD 6,682/kg), China (USD 5,809/kg), Japan (USD 5,287/kg) and the United States (USD 3,225/kg)** .
- **Limited Economies of Scale:** The study attributes India's relatively high cost primarily to the frequent use of **smaller launch vehicles** , because the fixed cost of each launch is distributed over a smaller payload.
- **Low Launch Frequency:** India does not conduct launches frequently enough to generate substantial learning and scale economies. Since 2010, the study found statistically significant reductions in costs with cumulative launch experience mainly in the **United States and Europe** .
- **Gap between Launch Ambitions and Execution:** Although **IN-SPACe** had projected **30 launches between January 2024 and March 2025** , India fell considerably short of this target, while only **five launches were recorded in 2025** .
- **Private-Sector Expansion:** Since the space sector was opened to private participation in **2020** , around **400 space start-ups** have been registered with IN-SPACe, indicating growing efforts to increase launch capacity, innovation and competition.
- **Emergence of Private Launch Capability:** In July 2026, **Skyroot Aerospace** launched India's first privately built orbital rocket, expanding India's ability to undertake commercial orbital launches through private participation.
- **Dependence on Foreign Launch Providers:** Limited domestic heavy-lift capability and launch availability have pushed some Indian satellite operators to use foreign launch services, particularly **SpaceX's Falcon 9** .
    - In **November 2024** , NewSpace India Limited launched the **4,700-kg GSAT-N2 communications satellite** aboard a Falcon 9 from Cape Canaveral because the spacecraft exceeded the payload capability of India's **LVM-3** , and Europe's Arianespace did not have an operational launcher available.
    - **Indian Start-ups Using Foreign Rockets:** Start-ups such as **Pixxel and Digantara** launched commercial satellites aboard SpaceX rideshare missions, while companies such as **GalaxEye** also booked Falcon 9 launch slots.
- **Strategic Vulnerability:** Dependence on foreign launch providers can create strategic risks because access to space may become vulnerable to **geopolitical restrictions, pricing power or diplomatic pressure** .
- **Growing SpaceX Dominance:** The study noted that **SpaceX accounted for around 75% of global payload placed into orbit in 2025** , highlighting increasing concentration in the global launch market and potential dependence on a single major provider.

Read More: **Unlocking India's Space Economy Through Private Sector**

Arctic Amplification and 'Shrubification'

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Source: TH

Studies show that **Arctic warming is rapidly transforming tundra vegetation ,** with plants growing taller and greener and new shrub species expanding into previously colder regions, offering scientists crucial insights into **climate change** , Arctic amplification and ecosystem resilience.

- **Harsh Tundra Conditions:** Historically, the **Arctic tundra** has supported only miniature plant life due to extreme winter cold, strong winds, and shallow, frozen **permafrost (permanently frozen subsoil)** that restricts deep root penetration.
- **Arctic Amplification:** The Arctic region is **warming four times faster than the rest of the planet.**
  - For instance, Alaska's North Slope has warmed by approximately 2.7°C over the last 40 years primarily due to **fossil fuel** emissions.
- **Shrubification:** Rising temperatures are causing existing Arctic plants to grow taller and allowing new, taller species to move in - a major climate change indicator known as **shrubification** .
- **Albedo Effect and Warming:** Taller, darker shrubs protrude above the white snow, **reducing the surface albedo (reflectivity)** .
  - They absorb more solar radiation, which traps heat and further accelerates Arctic regional warming.
- **Increased Methane Emissions:** Shrubs trap more snow, which acts as an insulator for the ground beneath. This warmth allows soil microbes to remain active during the winter, releasing higher levels of **methane (a potent greenhouse gas) .**
- **Carbon Balance:** While the added greenery from taller plants helps absorb more **Carbon Dioxide (CO2)** , this **natural carbon sink effect** is heavily offset by the **warming impacts of reduced albedo and methane release.**
- **Ecological Disruptions:** The expansion of shrubs (like willows) creates more shade over streams and fundamentally **alters the local habitats and ecology of native fish, insects, and birds.**
- **Adaptation through Mutualism:** To handle the severe stress of climate change, scientists are rethinking evolutionary survival in the Arctic—suggesting that plant species are relying on **mutualism (cooperation among species)** rather than cutthroat competition to survive.

Read more: **Arctic Warming**